BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company of New York, Inc.

Cases 25-E-0072 & 25-G-0073

May 30, 2025

Prepared Testimony of:

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I. INTRODUCTION AND OVERVIEW

Q. Would you please state your name and business address?

A. My name is John T. Haff, Director of the Utility Intervention Unit (UIU) at the New York State Department of State. My business address is 99 Washington Avenue, Suite 500, Albany, NY, 12231.

Q. Summarize your educational background and professional experience.

A. I received a Master of Business Administration from the College of Saint Rose in Albany, NY. I have been employed with New York State since 2007. I previously worked at the New York State Office of General Services from 2007 to 2024 in the Energy Planning and Procurement Department. I began working as Director of UIU in September 2024. I have participated in multiple utility rate case proceedings and other proceedings before the Public Service Commission (PSC or Commission).

Q. What is the scope of this testimony?

A. I will be reviewing and making recommendations on the Consolidated Edison Company of New York, Inc.'s (Con Edison or Company) proposed "Differentiated Natural Gas" pilot program, which would allow the Company to use ratepayers' funds to purchase "Differentiated Natural Gas" from independent third-party suppliers.

Q. Have you prepared any exhibits to be filed with your testimony?

A. Yes. Exhibit__(JTH-1) contains the Company's responses to Information Requests (IRs) that I relied upon in preparing this testimony.

II. SUMMARY OF RECOMMENDATIONS

Q. Can you please summarize the recommendations that should be implemented based on your testimony?

A. I recommend the Commission direct the following:

- cancel the proposed Differentiated Natural Gas pilot program;
- ensure that any ratepayer money that is

proposed to be used to subsidize this pilot program, or any related program, has the intended impact; and

- review alternative investments that incentivize emission reductions.

III. SUMMARY OF DIFFERENTIATED NATURAL GAS

Q. Please briefly describe what Differentiated Natural Gas is.

A. Differentiated Natural Gas, which is also known as certified gas, does not have a specific definition. Different companies that offer a product compliant with the Con Edison pilot program have different specifications. The two companies identified in the Company's responses to IRs UIU-3-30 and UIU-4-34 were MiQ and Project Canary Trustwell. Those two companies, based on the response to UIU-3-30, and oddly, also UIU-4-34, have the following requirement to be compliant with the term "Differentiated Natural Gas":

MiQ – "A" rating. To achieve MiQ's "Grade A"

certification, suppliers were ranked in three scoring categories: company practices, monitoring technology deployment, and methane intensity. Each facility, from production to boosting and gathering, processing, transmission and storage, liquefaction, Liquefied Natural Gas shipping, and regasification is audited and is given a methane intensity grade that feeds into an overall grade and methane intensity for the aggregation of each stage of the supply chain. The methane intensity for MiQ grade A is ≤ 0.050%.

Project Canary Trustwell – "Platinum" rating. To achieve Project Canary's "Platinum" certification, the certifier utilizes its Environmental Assessment program to review and analyze climate attributes, engineering principles, and social performance of individual wells and facilities. This data, combined with Project Canary's total site-level emissions data, help to inform operational, investment, safety, and reporting actions. To receive the Platinum

grade, suppliers must be more responsible than 90% of other operators.

Q. In the multiple IRs from UIU that asked the Company to identify emission reductions related to this program, did the Company identify any emissions reductions associated with this program?

A. No. It was odd that the Company responded to UIU-3-30 and UIU-4-34 with the same response because the questions were very different. UIU-3-30 asks whether emission reductions are required for a designation as differentiated natural gas and if so provide details. The company responded by providing the summary of qualification response mentioned above which not only does not address the question but indicates that emission reductions are not a requirement and that this is only a comparison of suppliers. To reinforce the fact that emission reductions are not required to qualify under this program, UIU-4-34 asks for specific quantities of emission reductions that

correlate with the certificates provided under this program. The question specifically asks for an amount where 1 certificate = X tons of greenhouse gas reduction. The Company's response provided no emission reduction information.

To become a compliant supplier the requirements are only that you need to have a lower methane intensity than other suppliers. There is no requirement that was contained in any response to these two UIU IRs that provided backup that showed that emission reductions were required.

In multiple UIU IRs the Company's response to the questions on emission reductions were in the affirmative but the details provided by the Company did not back up those responses. UIU-4-33 asks if there are documented emission reductions required and if a designation guarantees a specific amount of reduction. To both of those questions the response was "YES for MiQ certificates." But the follow up question, UIU-4-34, requests the details of the emission reduction and the response only reviews what it

takes to qualify as a supplier for their certification, it does not identify any emission reduction.

Q. How does the Company justify the additional expense of this program?

A. They do not. In response to UIU-4-32, where UIU asks why it is necessary or appropriate for ratepayers to incur additional costs for Differentiated Natural Gas, the Company states, in part, the iea.org website… states that "current methane emissions could be avoided at no net cost across the world."

Because this pilot program is structured to incentivize suppliers that are already qualified under these programs, the pilot program does not incentivize high emitters to reduce emissions. In fact, the pilot program would be self-destructive if it did incentivize the highest emitters to reduce emissions because then there would be less differentiation.

Q. What is the recommendation for alternatives to this pilot program?

A. A possible correction to this program, if continuation is a desired outcome, would seek to have a process to incentivize emission reductions. Instead of providing subsidies to suppliers that already have low emissions a program could seek to incentivize the "low and no cost" steps that the industry can take to reduce emissions and structure the program where payments are based on emission reductions.

Q. What would the benefit be of this alternative program?

A. This alternative program would have dual benefits. The program would actually reduce emissions. The program would, at least in theory, be temporary. At some point the industry would have fewer and fewer low and no cost ways to reduce emissions.

Q. Does this conclude your direct testimony, which

was filed with the Commission on May 30, 2025?

A. Yes.